NewFinAgent — Financial Summary

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EXECUTIVE SUMMARY

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The company reported strong financial performance in FY 2025-26, with total revenue of $6,650,000 and net profit of $2,070,000. The net profit margin of 31.1% highlights a healthy profitability ratio, indicating that the company efficiently converts revenue into profits. Despite rising expenses, the net profit growth (42.8%) outpaced the revenue growth (27.9%). The company’s balance sheet shows strong solvency with total assets exceeding total liabilities, and its cash flow indicates positive operating activities but significant investment and financing cash outflows.

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KEY METRICS

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- **Total Revenue**: $6,650,000
- **Net Profit**: $2,070,000
- **Net Profit Margin**: 31.1%
- **Revenue Growth**: 27.9% YoY
- **Profit Growth**: 42.8% YoY
- **Current Assets**: $3,200,000
- **Fixed Assets**: $5,700,000
- **Total Liabilities**: $3,400,000

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REVENUE ANALYSIS

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The company’s total revenue increased by 27.9% compared to the previous fiscal year. Product Sales accounted for the majority of revenue at $4,500,000, followed by Subscription Income ($800,000) and Service Revenue ($1,200,000). Other Income ($150,000) contributed a smaller portion to total revenue. This indicates that the company’s core products are driving growth.

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EXPENSE ANALYSIS

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Total expenses for the year were $4,580,000, with Cost of Goods Sold (COGS) at $2,100,000 being the largest expense category. Other significant expense categories included Salaries and Wages ($1,200,000), Marketing and Advertising ($450,000), Rent and Utilities ($280,000), Technology and Software ($180,000), Administrative Expenses ($220,000), and Depreciation ($150,000). Rising expenses across these categories indicate that the company is scaling its operations.

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PROFIT AND LOSS SUMMARY

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- **Gross Profit**: $4,550,000 (28.3% of Total Revenue)
- **Operating Profit**: $2,070,000 (31.1% of Total Revenue)
- **Net Profit**: $2,070,000 (31.1% of Total Revenue)

The company’s gross profit margin is strong, suggesting efficient cost management relative to revenue. The operating and net profit margins are also healthy, indicating that the company is maintaining profitability despite rising expenses.

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BALANCE SHEET HIGHLIGHTS

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- **Total Assets**: $8,900,000 (current assets: $3,200,000; fixed assets: $5,700,000)
- **Total Liabilities**: $3,400,000 (current liabilities: $1,200,000; long-term liabilities: $2,200,000)
- **Shareholders’ Equity**: $5,500,000

The company’s balance sheet shows strong financial health with total assets exceeding total liabilities. Shareholders’ equity has increased compared to the previous year, indicating successful reinvestment and growth.

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CASH FLOW SUMMARY

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- **Operating Cash Flow**: $2,300,000 (positive)

- **Investing Cash Flow**: -$850,000 (negative)
- **Financing Cash Flow**: -$420,000 (negative)
- **Net Cash Position**: $1,030,000

The company generated positive operating cash flow but faced significant cash outflows in investing and financing activities. This suggests that the company is reinvesting in growth initiatives or managing its capital structure effectively.

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KEY FINANCIAL INSIGHTS

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- The company has achieved a healthy net profit margin of 31.1%, indicating strong profitability relative to revenue.
- Rising expenses have been offset by increased revenue, allowing the company to maintain net profit growth.
- Depreciation is a significant expense category, but it does not impact cash flow negatively since it is a non-cash charge.
- The company’s balance sheet shows sufficient liquidity and solvency to support its operations and reinvestment activities.

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RECOMMENDATIONS

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1. **Cost Management**: Focus on optimizing COGS by improving supply chain efficiency or renegotiating supplier contracts.
2. **Leverage Technology**: Invest in automation or process improvements to reduce operational expenses without compromising product quality.
3. **Pricing Strategy**: Evaluate whether price increases can be justified while maintaining market competitiveness, especially for Product Sales and Subscription Income.
4. **Debt Management**: Review financing activities to ensure that the company maintains a healthy debt-to-equity ratio to avoid future financial instability.
5. **Investment in Growth**: Ensure that cash flow from operations is sufficient to support reinvestment in growth initiatives without over-leveraging the company.

SUMMARY
The company demonstrated strong financial performance in FY 2025-26, with revenue and net profit both growing significantly compared to the previous year. While rising expenses were a concern, the company managed to maintain healthy margins and positive cash flow. Continued focus on cost management,

reinvestment in growth initiatives, and prudent debt management will be key to sustaining this momentum in future fiscal years.